lead to their eventual shutdown. This has enormous consequences for consumers, investments in the sector, and competitiveness in the industry.

Second, all other telecom licensee companies, such as Reliance and Aircel, have already shut shop and are mostly in insolvency proceedings. Their networks and spectrum licences are getting wasted and not being put to any active service. Further, they are not paying their dues to the government. Putting the valuable spectrum these companies have on sale and facilitating their orderly resolution has not been possible because of our messed up policy regime.

Third, the government is pumping in billions of dollars (over Rs 70,000 crore) to 'revive' BSNL and MTNL. With the country facing a massive economic slowdown and a tough fiscal situation, is it advisable to throw scarce good money after a hopeless cause as it is quite unlikely that these two companies can be revived?

Fourth, telecom technology continues to advance with the arrival of 5G, which has the potential to connect machines and deliver much faster digital services. The policy conundrum caused by very high reserve prices recommended by TRAI is likely to make India miss the 5G bus as well.

All four issues needed to be resolved in the larger interest of the country.

Sector is Clutched Back from Precipice

Better sense dawned on the government in September 2021 which has pulled back the telecom sector from the precipice. The Union Cabinet in its meeting of 15 September 2021 approved a set of measures and procedural reforms to address both short-term and long-term issues of the sector.

The package included immediate relief measures of reducing the requirement of bank guarantees substantially (the government released about Rs 9000 crore worth of guarantees in December 2021), reducing interest rates, removing penalties and permitting 100 per cent FDI in the